SUPPLIER REFERRAL & COMMISSION AGREEMENT

Wholesale Lumber, Hardwood & Building Materials

Effective Date: _____

This Supplier Referral & Commission Agreement ("Agreement") is entered into by and between:

Referral Partner: _____

Legal Entity: _____

Business Address: _____

Email: _____

Hereinafter referred to as the "Referral Partner" or "Platform";

AND

Supplier: Scrounger's Paradise

Legal Entity: _____

Business Address: _____

Email: _____

Hereinafter referred to as the "Supplier."

The Referral Partner and Supplier are collectively referred to as the "Parties."

1. Purpose and Scope

1.1 The Referral Partner operates a business-to-business marketplace and lead-generation service connecting prospective buyers with lumber mills, wholesalers, importers, distributors, and other suppliers of wood products and building materials.

1.2 The Supplier desires to receive qualified purchasing opportunities originating through the Referral Partner's website, marketing activities, industry contacts, and direct sales efforts.

1.3 In exchange for these introductions, the Supplier agrees to compensate the Referral Partner through transaction-based commissions as described herein.

1.4 The Parties intend to establish an independent, non-exclusive referral relationship in which the Supplier remains the seller of record and retains full responsibility for sales transactions, payments, products, and fulfillment.

1.5 This Agreement does not require the Referral Partner to purchase, warehouse, transport, finance, or take ownership of any products.

2. Referral Partner Services

2.1 The Referral Partner may perform any of the following activities:

- Identify prospective buyers of lumber, specialty hardwoods, decking, dimensional lumber, slabs, millwork, and related products.
- Collect buyer specifications, including wood species, grade, dimensions, quantities, delivery location, and anticipated purchasing schedule.
- Introduce prospective buyers and purchasing organizations to the Supplier.

- Facilitate preliminary communications, requests for quotations, and sales discussions.
- Provide lead details and purchasing requirements through an online platform, email, telephone, or other documented communication.
- Maintain referral records and track resulting sales for commission purposes.

2.2 The Referral Partner does not guarantee the availability, profitability, or conversion of any lead.

2.3 The Referral Partner has no authority to enter into contracts, establish binding pricing, extend credit, accept product payments, or otherwise obligate the Supplier.

2.4 The Supplier independently determines whether to accept or decline any referred opportunity.

3. Supplier Obligations

3.1 The Supplier maintains sole responsibility for:

a. Determining product availability, pricing, and specifications.

b. Providing quotations and accepting orders.

c. Entering into purchase agreements directly with buyers.

d. Invoicing buyers and collecting payment.

e. Confirming product availability and authenticity.

f. Preparing, packaging, loading, shipping, and delivering products.

g. Coordinating customer pickup or freight arrangements.

h. Addressing product quality, grading, dimensional accuracy, and customer complaints.

i. Handling cancellations, returns, warranties, and refunds.

j. Maintaining legally required licenses, permits, insurance, and product documentation.

3.2 The Supplier shall be the seller of record for every transaction.

3.3 Unless the Supplier independently agrees otherwise with its buyer, the Supplier may require cleared payment in full before releasing, shipping, or making materials available for pickup.

3.4 The Supplier shall not represent the Referral Partner as the seller, merchant of record, guarantor, or party responsible for delivery or product performance.

4. Commission Agreement

4.1 The Supplier agrees to pay the Referral Partner a commission of:

FIVE PERCENT (5%) OF THE COMMISSIONABLE SALE AMOUNT.

4.2 The "Commissionable Sale Amount" means the total amount invoiced to the referred buyer for products sold, including separately charged handling and freight appearing on the Supplier's invoice, excluding separately stated sales and use taxes, and reduced by bona fide refunds and credits actually issued to the buyer.

4.3 The commission is based on the sale amount rather than the Supplier's gross profit, net profit, markup, or operating margin.

4.4 The commission applies to qualifying transactions involving Registered Leads under Section 5, including applicable repeat purchases under Section 6.

4.5 Any alternative commission rate must be agreed to in writing by authorized representatives of both Parties before the relevant order is accepted.

4.6 Unless otherwise agreed in writing, the standard commission rate shall remain five percent (5%).

Example

A buyer introduced by the Referral Partner purchases 2,000 board feet of ipe decking from the Supplier.

- Supplier's qualifying invoice: $20,000
- Referral commission: 5%
- Commission owed: $1,000

The buyer pays the Supplier directly.

The Referral Partner separately invoices the Supplier for $1,000 through Stripe.

The Referral Partner does not collect or handle the $20,000 lumber purchase payment.

5. Lead Registration and Attribution

5.1 A "Qualified Lead" is a prospective individual, business, contractor, builder, distributor, or other purchasing organization introduced to the Supplier by the Referral Partner.

5.2 A Qualified Lead becomes a "Registered Lead" when the Referral Partner transmits sufficient identifying information to the Supplier to reasonably identify the buyer or purchasing organization.

5.3 Registered Leads may be delivered through:

- Email introductions.
- Marketplace lead notifications.
- Electronic quotation requests.
- Supplier dashboard notifications.
- Other mutually recognized written communications.

5.4 Whenever practicable, the Referral Partner shall assign a unique reference number or Lead ID to each introduction.

5.5 The Supplier shall have five (5) business days after receipt of a lead to notify the Referral Partner in writing that the buyer is already involved in an active and documented sales opportunity with the Supplier for substantially the same purchasing requirement.

5.6 Any existing-customer objection shall identify the existing opportunity and provide reasonable supporting documentation, subject to protection of confidential business information.

5.7 An existing customer relationship alone shall not automatically disqualify a referral involving a materially new project, product requirement, or purchasing opportunity generated by the Referral Partner.

5.8 In the absence of a timely objection, the lead shall be treated as accepted and registered for commission purposes.

5.9 A timely objection shall not automatically establish an exclusion if the Parties dispute whether the referred opportunity is new. The Parties shall resolve the attribution in good faith using available records.

5.10 No commission is earned solely by registering a lead. Commission entitlement is determined by qualifying sales and buyer payments under this Agreement.

6. Repeat Purchases and Lead Protection

6.1 Registered Leads shall remain protected for twelve (12) months following their initial introduction date.

6.2 During this period, the Supplier shall pay the agreed commission on qualifying purchases made by the Registered Lead, including:

a. Initial orders.

b. Additional quantities for an existing project.

c. Subsequent orders for the same product.

d. Purchases of different lumber or building material products.

e. Orders placed through authorized purchasing representatives of the same registered buying organization.

6.3 The Referral Partner is not required to participate in each subsequent transaction to remain eligible for commission.

6.4 The protection period applies only to the identified purchasing organization and does not automatically extend to unrelated affiliates, subsidiaries, or other companies.

6.5 The Supplier agrees not to intentionally redirect, conceal, reclassify, or restructure transactions for the purpose of avoiding earned commissions.

6.6 Termination of this Agreement shall not eliminate commission eligibility for qualifying purchases during the remaining protection period of Registered Leads introduced before termination.

6.7 Leads introduced after termination shall not qualify unless separately authorized in writing.

7. Commission Earned and Payment Terms

7.1 Commission Earned Upon Buyer Payment

A commission is earned when the Supplier receives cleared payment from a Registered Lead for a qualifying sale.

The Referral Partner's right to payment shall not depend on the Supplier's subsequent shipment, delivery, customer pickup, or installation of the products.

The acceptance of a purchase order, issuance of a quotation, or creation of an unpaid customer invoice shall not, by itself, make a commission payable.

7.2 Stripe Commission Invoicing

The Referral Partner shall issue commission invoices electronically using Stripe or another mutually agreed electronic invoicing system.

Each commission invoice shall identify, where available:

- Supplier name.
- Registered Lead ID.
- Related customer invoice number.
- Commissionable Sale Amount.
- Commission percentage.
- Total commission due.
- Payment due date.

The Supplier agrees to accept electronic invoices at its designated billing email address.

7.3 Payment Deadline

The Supplier shall pay each commission invoice no later than two (2) business days after the later of:

a. The Supplier's receipt of the corresponding cleared buyer payment; or

b. The Supplier's receipt of the Referral Partner's commission invoice.

The Supplier shall not intentionally delay commission verification, reporting, or payment.

The Parties intend commission payments to be processed promptly after the underlying sale is funded.

7.4 Supplier Payment Notification

The Supplier shall notify the Referral Partner within one (1) business day following receipt of cleared buyer payment for a qualifying transaction.

The notification shall include:

a. Registered Lead ID, if assigned.

b. Customer invoice number and date.

c. Product description.

d. Invoice amount.

e. Amount received.

f. Payment date.

g. Any separately stated sales tax or applicable credits.

The Referral Partner may use this information to calculate and issue its Stripe commission invoice.

7.5 Partial Payments and Deposits

If the Supplier receives a deposit or partial payment, the commission attributable to that payment shall become earned when the funds clear.

The balance of the commission shall become earned as the Supplier receives subsequent payments.

For partial payments, the attributable commission shall be calculated proportionately to the amount received, using the commissionable portion of the underlying invoice.

The payment deadline in Section 7.3 applies to each earned portion.

7.6 Refunds, Credits, and Cancellations

If a buyer cancels an order before payment, no commission shall be earned.

If the Supplier issues a bona fide refund or credit for a transaction on which commission has already been paid, the Supplier may receive a proportional commission credit.

The adjustment shall be reflected in the next commission statement or otherwise settled within thirty (30) calendar days if no future commissions are anticipated.

Any adjustment must be supported by documentation of the actual customer refund or credit.

Ordinary Supplier expenses, losses, discounts not extended to the buyer, or reductions in profitability shall not reduce commissionable amounts.

7.7 Independent Commission Obligation

Commission payments constitute a separate contractual obligation owed by the Supplier to the Referral Partner.

The Supplier remains responsible for collecting customer payments and conducting the underlying product transaction.

The Referral Partner shall not act as a payment processor or custodian of buyer funds.

7.8 Effect on Fulfillment

Payment of the Referral Partner's commission is an independent obligation and does not automatically create a legal right for the Referral Partner to hold, stop, or prevent shipment of products.

The Supplier's obligation to fulfill a customer's order remains governed by the Supplier's separate agreement with the customer.

7.9 Statutory Requirements

If North Carolina General Statutes Chapter 66, Article 27 applies to the relationship, the Parties shall comply with its mandatory requirements concerning commissions, termination, and available remedies.

Nothing in this Agreement shall waive rights or shorten any applicable statutory payment protections.

8. Supplier Reporting and Transaction Verification

8.1 The Supplier shall maintain accurate records of qualifying sales involving Registered Leads.

8.2 In addition to transaction-specific notifications under Section 7.4, the Supplier shall provide a monthly reconciliation statement within ten (10) business days following the end of each month in which qualifying activity occurs.

8.3 The statement shall include qualifying transactions, amounts collected, refunds, credits, and commissions paid or outstanding.

8.4 The Supplier shall provide reasonable documentation upon request to verify reported commission amounts.

8.5 The Referral Partner may request an independent review of records directly relevant to Registered Leads, no more than twice annually, upon ten (10) business days' written notice.

8.6 Any review must be limited to information reasonably necessary for commission verification, performed under appropriate confidentiality protections, and conducted without unreasonable interference with the Supplier's operations.

8.7 The Referral Partner shall bear reasonable review costs unless the review demonstrates an underpayment exceeding five percent (5%) of commissions payable during the examined period, in which case the Supplier shall reimburse reasonable verification expenses.

8.8 Supplier reporting obligations shall continue after termination for so long as commissions remain payable under this Agreement.

9. No Inventory Ownership or Product Liability

9.1 The Referral Partner shall not:

- Purchase lumber for resale.
- Hold or warehouse inventory.
- Take legal title to products.
- Finance orders.
- Extend buyer credit.
- Guarantee buyer payments.
- Arrange freight as a transportation carrier or freight broker.
- Assume responsibility for product delivery.
- Guarantee product specifications or performance.

9.2 Title and risk of loss shall be determined exclusively by the applicable agreement between the Supplier and buyer.

9.3 The Supplier shall remain responsible for product representations, fulfillment obligations, and applicable warranties.

9.4 Nothing in this Agreement makes the Referral Partner responsible for buyer or Supplier obligations under their separate sales agreement.

9.5 This allocation of responsibility does not excuse either Party from liability for its own unlawful conduct, negligence, or unauthorized representations.

10. Non-Exclusive Relationship

10.1 This Agreement is non-exclusive.

10.2 The Referral Partner may introduce buyers to multiple mills, importers, distributors, and suppliers.

10.3 The Supplier may maintain independent sales channels and existing customer relationships.

10.4 Neither Party is required to establish exclusive pricing, territories, or customers.

10.5 Each Supplier independently determines its product pricing, availability, and commercial terms.

10.6 Nothing in this Agreement requires the Referral Partner to direct all inquiries for a particular lumber species or product to the Supplier.

11. Confidentiality and Data Protection

11.1 Each Party shall use reasonable care to protect confidential business information received from the other Party.

11.2 Confidential information includes non-public buyer identities, contact details, purchasing requirements, pricing proposals, financial information, transaction records, and proprietary business processes.

11.3 Confidential information may be used only for legitimate purposes related to this Agreement unless otherwise authorized.

11.4 The Supplier may communicate directly with Registered Leads to prepare quotes, close sales, coordinate fulfillment, and conduct subsequent business, subject to applicable commission obligations.

11.5 The Parties shall comply with applicable privacy, data-security, and commercial communication laws.

11.6 The confidentiality obligations shall survive termination for three (3) years, except for trade secrets entitled to longer protection under applicable law.

11.7 Information independently developed, publicly available through no breach, lawfully received from another source, or required to be disclosed by law shall not be considered confidential solely by reason of this Agreement.

12. Product Compliance and Representations

12.1 The Supplier represents that it has the authority to sell the products it offers.

12.2 The Supplier is responsible for accurately representing the species, grade, dimensions, quantity, treatment, origin, and condition of its products.

12.3 The Supplier shall comply with applicable laws governing sourcing, importation, exportation, environmental protection, and product sales.

12.4 For imported timber and hardwood products, the Supplier shall remain responsible for applicable Lacey Act, CITES, customs, and other legally required documentation.

12.5 The Referral Partner shall not independently certify product legality, species authenticity, grade, or sourcing unless separately agreed in writing.

12.6 Neither Party shall knowingly publish materially false or misleading product information.

13. Independent Contractor Status

13.1 The Parties are independent contractors.

13.2 Nothing in this Agreement creates an employment relationship, partnership, joint venture, franchise, or general agency.

13.3 The Referral Partner acts as an independent lead-generation and referral business and shall not bind the Supplier to any contract.

13.4 Each Party shall be responsible for its own taxes, employees, contractors, insurance, and operating expenses.

13.5 The Referral Partner's compensation is limited to the commissions and any separately documented fees agreed upon by the Parties.

14. Term and Termination

14.1 This Agreement begins on the Effective Date and continues until terminated in accordance with this Section.

14.2 Either Party may terminate the Agreement without cause by providing thirty (30) calendar days' written notice.

14.3 Either Party may terminate immediately upon written notice for a material breach that is incapable of cure, fraud, or unlawful conduct materially affecting the relationship.

14.4 For other material breaches, the non-breaching Party shall provide written notice and ten (10) business days to cure before termination becomes effective.

14.5 Termination shall not eliminate:

a. Commissions earned before termination.

b. Commissions earned on qualifying sales during an existing Registered Lead protection period.

c. Reporting and record-verification obligations relating to outstanding commissions.

d. Confidentiality obligations.

e. Accrued contractual liabilities or applicable statutory rights.

14.6 Commissions becoming earned after termination shall remain payable under Section 7, subject to any mandatory statutory deadlines.

14.7 To the extent North Carolina General Statutes §66-191 applies, commissions due at termination must be paid within the applicable statutory deadline, and commissions becoming due afterward must be paid within the applicable statutory deadline.

14.8 The Parties acknowledge that the agreement's Registered Lead protection periods continue according to Section 6 unless otherwise agreed in writing.

15. Indemnification and Limitation of Liability

15.1 The Supplier shall indemnify, defend, and hold harmless the Referral Partner from third-party claims and reasonable associated expenses arising out of:

- Defective or misrepresented products.
- Unlawful sourcing or sale of products.
- Supplier negligence or willful misconduct.
- Supplier fulfillment failures.
- Supplier violations of applicable laws.

Such obligations shall apply only to the extent the claim is attributable to the Supplier.

15.2 The Referral Partner shall indemnify, defend, and hold harmless the Supplier from third-party claims and reasonable associated expenses arising out of the Referral Partner's unauthorized representations, negligence, willful misconduct, or violations of law.

15.3 The indemnified Party shall provide reasonably prompt notice of a claim, permit the indemnifying Party to control the defense with qualified counsel, and cooperate reasonably in the defense.

15.4 Neither Party may settle a claim in a manner admitting fault by, or imposing obligations on, the other Party without that Party's prior written consent, not to be unreasonably withheld.

15.5 Neither Party shall be liable to the other for indirect, incidental, special, or consequential damages, except to the extent attributable to fraud, willful misconduct, confidentiality breaches, indemnification obligations, or unpaid commissions.

15.6 Nothing in this Section shall eliminate statutory remedies that cannot lawfully be waived.

16. Governing Law and Dispute Resolution

16.1 This Agreement shall be governed by the laws of the State of North Carolina, without regard to conflict-of-law principles.

16.2 The Parties shall first attempt to resolve disputes through good-faith written communications and direct negotiation.

16.3 A Party initiating a contractual dispute shall provide written notice describing the dispute and requested resolution.

16.4 Unless immediate relief is reasonably necessary, the Parties shall attempt to resolve the dispute for fifteen (15) calendar days before initiating litigation.

16.5 Any litigation shall be brought in a court of competent jurisdiction in North Carolina, subject to mandatory jurisdictional and venue requirements.

16.6 Nothing in this Section shall restrict a Party's ability to pursue remedies required or expressly protected by applicable law.

17. Notices and Electronic Communications

17.1 Formal notices under this Agreement may be delivered by email to the designated business addresses stated above, except where applicable law requires another method.

17.2 Email notices shall be deemed received upon written acknowledgment, affirmative delivery confirmation, or the next business day following transmission if no delivery failure is reported, except where actual receipt is required by law.

17.3 The Supplier agrees that commission invoices may be transmitted electronically through Stripe or another designated invoicing platform.

17.4 The Parties shall promptly notify one another of changes to their official business contact or billing information.

17.5 If applicable law requires certified mail or another specified delivery method for a statutory demand or notice, that requirement shall control.

18. General Provisions

18.1 **Entire Agreement.** This Agreement constitutes the complete understanding between the Parties concerning referral services and commissions.

18.2 **Amendments.** Any modification must be agreed to in writing by authorized representatives of both Parties.

18.3 **Severability.** If any provision is held invalid or unenforceable, the remaining provisions shall remain effective to the extent legally permissible.

18.4 **No Waiver.** Failure to enforce a provision does not constitute a waiver of future enforcement rights.

18.5 **Assignment.** Neither Party may assign this Agreement without the other's prior written consent, except to a successor acquiring substantially all of the assigning Party's relevant business and assuming its obligations in writing.

18.6 **Electronic Signatures.** The Parties agree that electronic signatures and electronically executed counterparts are valid to the extent permitted by law.

18.7 **Survival.** Provisions that by their nature require performance after termination, including commission obligations, reporting, verification, confidentiality, indemnification, and dispute resolution, shall survive as applicable.

EXHIBIT A - COMMERCIAL TERMS

Commercial Term	Agreed Provision
Referral commission rate	5%
Commission calculation	Gross invoiced sale amount, including invoiced freight and handling, excluding separately stated sales taxes and actual refunds or credits
Commission earned	Upon Supplier receipt of cleared buyer payment
Commission invoice method	Stripe
Commission payment deadline	Two business days after the later of buyer payment or receipt of commission invoice
Supplier transaction notification	Within one business day of buyer payment
Supplier sales reconciliation	Monthly
Partial deposits	Proportional commission earned on cleared funds
Registered Lead protection	12 months
Repeat purchases	Commissionable during protection period
Product seller of record	Supplier
Buyer invoicing and collection	Supplier
Product ownership and fulfillment	Supplier
Inventory ownership by Referral Partner	None
Exclusivity	Non-exclusive
Termination notice	30 calendar days
Governing law	North Carolina

EXHIBIT B - REGISTERED LEAD RECORD

The following information may be used to document an individual referred opportunity.

Lead Identification

Lead ID: _____

Date Introduced: _____

Buyer/Company Name: _____

Buyer Contact: _____

Buyer Email/Phone: _____

Purchasing Requirement

Product/Species: _____

Quantity: _____

Grade/Dimensions: _____

Delivery or Pickup Location: _____

Additional Specifications: _____

Supplier Transaction

Supplier Quote Number: _____

Supplier Invoice Number: _____

Invoice Date: _____

Commissionable Sale Amount: $_____

Date Buyer Payment Cleared: _____

Referral Commission

Commission Rate: 5%

Commission Amount: $_____

Stripe Invoice Number: _____

Commission Due Date: _____

Commission Payment Date: _____

This record may be maintained electronically through the Referral Partner's marketplace, CRM, or sales administration system.

SIGNATURES

By signing below, the Parties acknowledge that they have read, understood, and agree to the terms of this Agreement, including Exhibits A and B.

REFERRAL PARTNER

Legal Business Name: _____

Authorized Representative: _____

Title: _____

Email: _____

Signature: _____

Date: _____

SUPPLIER

Business Name: Scrounger's Paradise

Legal Entity: _____

Authorized Representative: _____

Title: _____

Email: _____

Signature: _____

Date: _____